One day, after he'd met with members of the outgoing administration, Caspar Weinberger, a San Francisco lawyer who was among the first people we brought from outside government to assist in the transition as director of finance, came to me and said: "The state's spending more than a million dollars a day more than it's taking in and it's been doing that for a year."

The Democrats in Sacramento had known about the mounting deficit for almost a year, but had concealed it by altering bookkeeping procedures that pushed the deficit into the subsequent fiscal year; then, they had gone on spending as extravagantly as always, while avoiding the embarrassment of an election-year tax increase.

Now suddenly the state faced its worst financial crisis since the Depression, and it was up to me, as the new governor, to end it.

In my inauguration speech on January 2, 1967, I informed Californians about the financial mess we had uncovered and promised to do everything I could, as soon as I could, to put the state's financial house back in order.

"We are going to squeeze and cut and trim until we reduce the cost of government," I said. "It won't be easy and it won't be pleasant."

And it wasn't.